

Transaction Risk Scorecard Evaluation

The current transaction risk scorecard captures 24.1% of known fraudulent transactions while generating a 97.3% false positive rate. These results indicate that the current thresholds prioritize broad detection but create significant operational review volume, presenting an opportunity to optimize decision thresholds.

Risk Scorecard Performance	Transaction Risk Distribution	Business Impact	Risk Threshold Simulator	Recommendations
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NovaPay NovaPay Transaction Risk Scorecard Evaluation		
Total Transactions 81,758 Total Fraud Transactions 1,350	Fraud Volume Trend 2015 27 2016 64 2017 61 2018 45 2019 69 2020 74 2021 79 2022 104 2023 119 2024 196 2025 311 2026 201 Fraudulent Transactions	Fraud Capture Rate 24.1% False Positive Rate 97.3%
Average Risk Score 30.1	Median Risk Score 30.0	Highest Risk Score 87.5

Transaction Risk Scorecard Evaluation

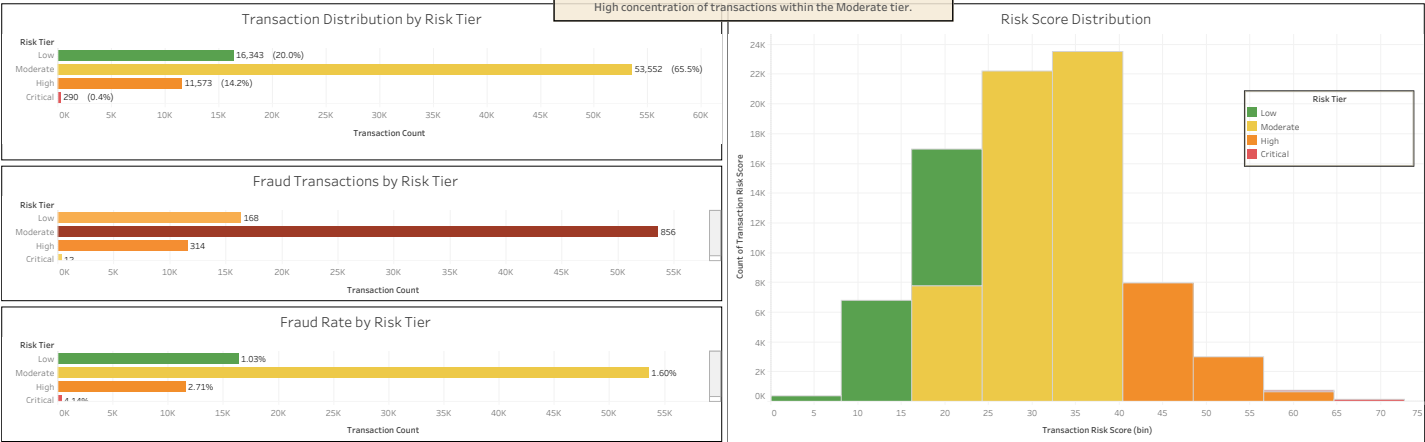
Nearly two-thirds (65.5%) of all transactions fall within the **Moderate Risk** tier, indicating that the current thresholds are heavily concentrated in the middle of the score range. Recalibrating the Moderate and High thresholds may improve fraud detection while reducing unnecessary manual review.

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Transaction Risk Distribution

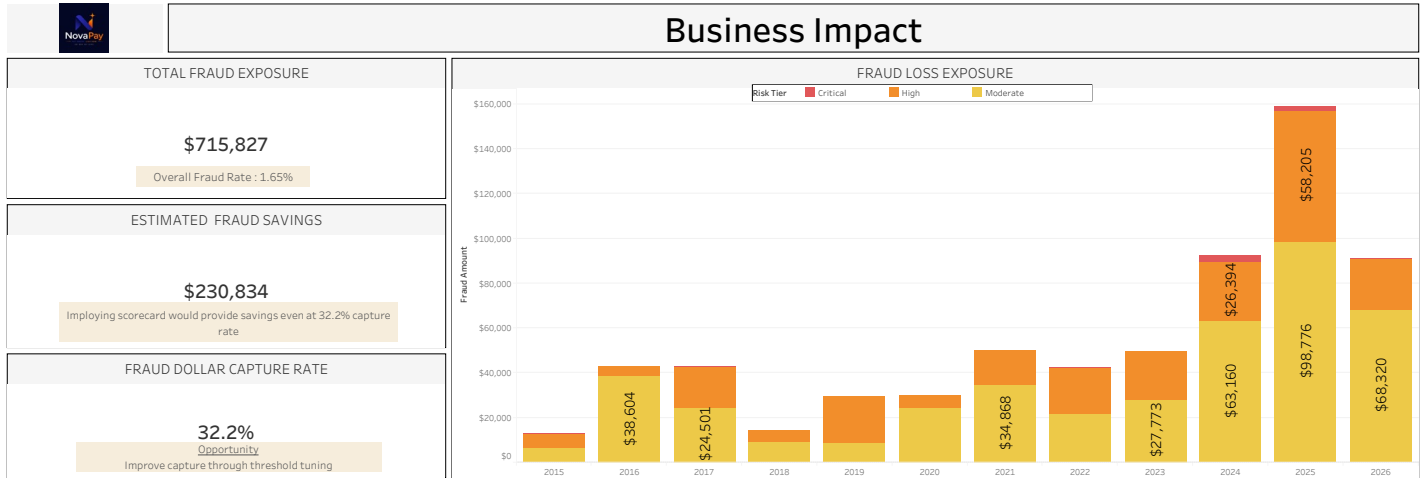
High concentration of transactions within the Moderate tier.



Transaction Risk Scorecard Evaluation

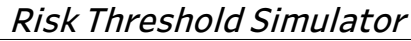
The current transaction risk scorecard identified approximately **\$230K** in potential fraud savings while achieving a **32.2%** fraud dollar capture rate. These results demonstrate business value while highlighting opportunities to improve performance through score threshold optimization.

Risk Scorecard Performance	Transaction Risk Distribution	Business Impact	Risk Threshold Simulator	Recommendations
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Risk Threshold Simulator allows users to simulate changing the Min/Max ranges for transactions within the High tier.

Recommendations



Current Scorecard		
Fraud Capture Rate	24.1%	
False Positive Rate	97.3%	
Fraud Capture Amount	\$230,834	
Transactions Routed for Review	11,863	

Risk Tiers - Current		
Risk Tier	Min	Max
Low	2.50	20.00
Moderate	22.50	40.00
High	42.50	60.00
Critical	62.50	87.50

Simulation Scorecard		
Fraud Capture Rate	24.1%	
False Positive Rate	97.3%	
Fraud Capture Amount	\$230,834	
Transactions Routed for Review	11,863	

Risk Tiers - Simulation		
Risk Tier	Min	Max
Low	2.50	20.00
Moderate	22.50	40.00
High	42.50	52.50
Critical	55.00	87.50

Simulated Risk Score Distribution

Legend:

- Low
- Moderate
- High
- Critical

Transaction Risk Score (bin)	Count of Transaction Risk Score	Risk Tier
0-5	~100	Low
5-10	~100	Low
10-15	~6.8K	Low
15-20	~9.2K	Low
20-25	~16.8K	Moderate
25-30	~22.2K	Moderate
30-35	~22.2K	Moderate
35-40	~23.2K	Moderate
40-45	~8.0K	High
45-50	~2.2K	High
50-55	~1.2K	Critical
55-60	~0.8K	Critical
60-65	~0.5K	Critical
65-70	~0.2K	Critical
70-75	~0.1K	Critical

Adjust the High Risk threshold and compare the op...

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Simulated (High Tier) - Min

53

Simulated (High Tier) - Max

Simulation Impact	
Fraud Capture Rate	0.0%
False Positive Rate	0.0%
Fraud Capture Amount	\$0
Transactions Routed for Review	0

Transaction Risk Scorecard Evaluation

Decreasing the High Risk threshold minimum from 42.5 to 32.5 improves fraud capture by 33.6% while increasing false positives by only 0.5%.

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Recommended Threshold Configuration

Risk Tiers - Recommended			Recommended Scorecard		Projected Business Impact	
Risk Tiers -...	Min	Max	Projected Fraud Capture Rate	57.8%	Fraud Capture Rate Impact	33.6%
Low	2.50	20.00	Projected False Positive Rate	97.8%	False Positives Impact	0.5%
Moderate	22.50	30.00	Projected Fraud Capture Amount	\$487,712	Fraud Capture Amount Impact	\$256,878
High	32.50	50.00	Projected Flagged Transactions	35,381	Flagged Transactions Impact	23,518
Critical	52.50	87.50				

